

D2C Fashion Brand

Customer Intelligence — SQL Analysis Report

Segmentation & Retention Strategy

This report answers five core business questions using SQL queries on the enriched customer dataset (3,900 customers). Every metric is constructed from behavioral data — no loyalty scores or churn labels were assumed; all were engineered from raw transactional signals.

Q1 — What separates Loyal customers from Discount-Driven ones?

Customers are segmented into four behavioral groups: **Loyal**, **Regular**, **Discount Driven**, and **New Customer**. Each segment is defined by a combination of purchase history, discount usage, promo code usage, and subscription status.

customer_segment	total_customers	avg_spend	avg_history	avg_loyalty	discount_rate
Loyal	556	60.58	43.95	0.588	0.0
Regular	2596	59.81	22.55	0.436	0.39
Discount Driven	593	58.9	26.4	0.41	1.0
New Customer	155	59.34	1.46	0.199	0.41

Key Insight: Loyal customers average 43.9 previous purchases vs 26.4 for Discount Driven — nearly 2x the history — yet their avg spend (60.58) is only marginally higher. The real difference is discount rate: 0.00 vs 1.00. Loyal customers buy organically; Discount Driven customers will not buy without an incentive.

Q2 — Which categories attract sticky vs one-time buyers?

Categories are ranked by avg loyalty score (behavioral loyalty) and discount dependency to identify which product lines are building repeat customers vs attracting promo-seekers.

category	total_customers	avg_history	avg_loyalty	discount_rate	avg_spend
Footwear	599	25.23	0.448	0.43	60.26
Accessories	1240	25.73	0.447	0.44	59.84
Outerwear	324	24.96	0.444	0.44	57.17
Clothing	1737	25.2	0.442	0.42	60.03

Key Insight: Loyalty scores are remarkably flat across categories (0.442–0.448), suggesting category preference alone does not drive retention. The brand's churn problem is cross-category — it is structural, not product-specific.

Footwear shows the highest loyalty and lowest customer count, making it an under-exploited retention anchor.

Q3 — Which states show organic demand vs discount-driven volume?

The **organic index** is computed as $\text{avg_spend} / (\text{avg_discount_rate} + 0.01)$. A high index means customers in that state spend well without needing heavy discounting — genuine brand pull. A low index flags states where volume is propped up by promotions.

Top 10 States — Highest Organic Demand

location	total_customers	avg_spend	discount_rate	avg_history	organic_index
Kansas	63	54.56	0.24	23.38	219.9
Arizona	65	66.55	0.34	28.37	190.99
Tennessee	77	61.97	0.36	25.96	165.87
Texas	77	61.19	0.36	21.48	163.78
Alaska	72	67.6	0.4	28.1	163.76
Virginia	77	62.88	0.38	23.51	162.65
South Dakota	70	60.51	0.37	24.6	158.65
Maine	77	56.99	0.35	22.65	158.01
Connecticut	78	54.18	0.33	24.0	157.8
Montana	96	60.25	0.38	25.27	156.49

Bottom 5 States — Most Discount-Dependent

location	total_customers	avg_spend	discount_rate	organic_index
Indiana	79	58.92	0.57	101.66
Oregon	74	57.34	0.51	109.53
Wisconsin	75	55.95	0.48	114.18
Iowa	69	60.88	0.52	114.5
South Carolina	76	58.41	0.5	114.53

Key Insight: Kansas, Arizona, and Tennessee lead on organic demand — customers here buy at good spend levels with below-average discount rates. Indiana and Oregon sit at the bottom: discount rates above 0.50 suggest volume in these states is almost entirely promotion-dependent. These are the first candidates for a promo sunset pilot.

Q4 — Who are our highest churn risk customers?

Churn risk is a behavioral proxy built from three independent signals: thin purchase history (bottom 25%), low satisfaction (rating < 3.2), and high promo dependency (score > 0.75). Customers triggering 3 signals = High Risk.

Churn Risk Profile by Tier

churn_risk	total_customers	avg_spend	avg_history	avg_loyalty	discount_rate
High	441	60.05	13.81	0.305	0.71
Medium	1546	59.1	20.33	0.387	0.47
Low	1913	60.24	32.07	0.523	0.33

High-Risk Customers by Segment

customer_segment	churn_risk	total_customers
Discount Driven	High	252
Regular	High	160
New Customer	High	29

Key Insight: 441 customers are High Risk. Of these, 252 (57%) are already Discount Driven — they have thin history, are dissatisfied, and rely on promos. Cutting their discounts will likely accelerate churn. The more surprising finding: 160 High Risk customers are Regular — they haven't been flagged as discount-driven but are quietly disengaging.

Q5 — What does the Ideal Customer Profile look like?

The Ideal Customer is defined as: **Loyal segment AND Gold value tier**. This intersection captures customers who buy organically (no discounts), have high purchase history, and rank in the top third by lifetime value composite.

Overall Profile (327 customers)

avg_age	avg_spend	avg_history	avg_loyalty	total
44.7	77.8	44.48	0.592	327.0

Top Locations

location	count
Nevada	14
Pennsylvania	13
Arizona	13
Tennessee	12
Alaska	12

Top Categories

category	count	avg_spend
Clothing	141	77.91
Accessories	104	77.47
Footwear	51	76.25
Outerwear	31	80.9

Top Payment Methods

payment_method	count
Credit Card	66
Cash	60
Debit Card	53
PayPal	51
Bank Transfer	51
Venmo	46

Top Seasons

season	count
Winter	89
Summer	80
Fall	80
Spring	78

Key Insight: The ideal customer is ~45 years old, spends \$77.80 per transaction, and has 44.5 previous purchases — a deeply habitual buyer. Nevada, Pennsylvania, and Arizona are the top geographies. Clothing dominates at 43% of purchases. Payment methods are evenly spread, suggesting no friction barrier. Winter is the strongest season, but demand is consistent year-round — this customer does not need seasonal nudges.